

China Daily Brief

Sunday, September 20, 2026

2,464 words · 10 min read

RE: RE: Xi's DC visit prep · Bessent-He Lifeng talks open · Russia sanctions bill snares China · F-35 parts diverted to HK

USD/CNY
6.6974
▼ -0.16%

SSE COMPOSITE
3,911.87
▲ +0.68%

HANG SENG
24,750.78
▼ -0.22%

BRENT
\$99.29
▼ -8.70%

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• TODAY AT A GLANCE

- 1 Trump plans to personally greet Xi Jinping at the airport ahead of the Sept 24 Washington summit, with a state dinner including AI adviser David Sacks on the schedule.
- 2 Treasury Secretary Scott Bessent and Vice Premier He Lifeng meet Sunday at JPMorgan's New York headquarters to launch talks on AI, trade and critical minerals four days before the summit.
- 3 Trump signed a Russia sanctions bill authorizing tariffs up to 100 percent on the top buyers of Russian energy, exposing China and India to fresh pressure days before Xi's visit.

DIPLOMACY

Trump Plans to Personally Greet Xi at Airport Ahead of Sept 24 Summit

President Trump plans to personally greet **Xi Jinping** at the airport when he arrives in Washington for the first Chinese state visit to the US in a decade, Reuters reported. Trump and Melania Trump will host Xi and Peng Liyuan for a state dinner, with AI adviser David Sacks among the guests, per separate SCMP and NBC reporting.

REUTERS, SCMP, NBC NEWS

US-CHINA

Bessent and He Lifeng Launch Talks on AI, Trade, Critical Minerals

Treasury Secretary **Scott Bessent** and Vice Premier **He Lifeng** meet Sunday at JPMorgan's Manhattan headquarters to open a new negotiating track on AI, trade and critical minerals, Reuters reported. The session comes four days before the Trump-Xi Washington summit and runs alongside the Board of Trade and Board of Investment mechanisms agreed at the May 2026 Beijing summit.

REUTERS

SANCTIONS

Trump Signs Russia Sanctions Bill Exposing China, India to New Tariffs

Trump signed the Russia sanctions bill named for the late Senator Lindsey Graham on Friday, which cleared the Senate 86-11 and the House 262-159, per Nikkei and DW. The law authorizes tariffs of up to 100 percent on the top five importers of Russian oil and gas and allows sanctions on countries that help Russia evade energy restrictions, exposing China and India as the largest buyers of Russian crude.

NIKKEI ASIA, DW CHINESE

US-CHINA

AI-Generated False Intel Nearly Triggered US Interception of Chinese Ship

A US Special Operations Command analyst's AI chatbot wrongly flagged a Chinese vessel in the Middle East as carrying nuclear-weapons-program components this spring, CNN reported via DW and UDN; the US military readied an interception and scrambled aircraft before officials caught the error at the last minute. The report said the chatbot fused open-source and classified signals intelligence to reach its conclusion, and that this was not the first such AI 'hallucination' inside the intelligence community.

CNN VIA DW CHINESE, UDN

TECHNOLOGY

Congress Probes Diversion of Sensitive F-35 Parts to Hong Kong

Sensitive F-35 parts, including at least one cockpit canopy carrying classified stealth-coating technology, were diverted mid-shipment from Australia to Hong Kong this summer instead of the US mainland, Politico reported via SCMP and DW. US congressional national-security staff have received briefings since June, and the Pentagon's F-35 Joint Program Office confirmed a batch of 'unusable' parts went missing in transit.

SCMP, DW CHINESE (VIA POLITICO)

PRC-ECONOMY

Saudi Arabia Quits China-Led Cross-Border Currency Platform

Saudi Arabia's central bank has withdrawn from a China-led cross-border currency platform built as part of Beijing's push for an alternative to dollar-based settlement, the FT reported. Riyadh maintains close dollar-pegged monetary ties with Washington.

FINANCIAL TIMES

DIPLOMACY

Hong Kong Holds State Funeral for First Post-Colonial Leader Tung Chee-hwa · AP News

Xi Jinping, Li Qiang and other top leaders sent condolences ahead of Sunday's state funeral for Tung Chee-hwa, Hong Kong's first chief executive, per China's defense ministry. Politburo member Shi Taifeng delivered the eulogy and Chief Executive John Lee attended alongside Beijing's liaison office leadership.

GOVERNANCE

Guangdong Mandates Press Conference Within 24 Hours of Major Incidents · HK01

Guangdong's provincial government issued new emergency-response rules requiring a first press briefing within 24 hours of major incidents causing significant casualties or public impact, HK01 reported. The rule follows a broader push for faster official disclosure after several deadly incidents this year.

LEADERSHIP

Taiwan Outlet Debunks Rumors of Xi Jinping Illness at BRICS Summit · China Times

China Times cited Hindustan Times reporting that a translation-equipment glitch, not illness, caused Modi to pause mid-speech to check on Xi, and that fatigue kept Xi from a Sept 12 leaders' dinner where Wang Yi represented him. The outlet also debunked separate rumors about Huawei's Ren Zhengfei fleeing China and a TAO spokesperson's detention.

BUSINESS

Fast Food Chains From US and China Gain Ground in Each Other's Markets · AP News

American fast-food brands and Chinese chains are each expanding in the other's home market, AP reported, even as broader US-China trade friction continues.

CROSS-STRAIT

Pottinger Tells Taiwan to Direct Skepticism at CCP, Not US · Taipei Times

Former deputy national security adviser Matt Pottinger told a Taipei forum that 'skepticism toward the US' and 'skepticism toward Taiwan' are myths that should be redirected toward Beijing's promises. He said Taiwan exported 3,000 drones in 2024, a figure he said is expected to rise a hundredfold by year's end.

MULTILATERAL

Former German MEP Urges Pushback on China's UN Resolution 2758 Claims · Taipei Times

Reinhard Butikofer told a Berlin conference hosted by Taiwan's representative office that Beijing's interpretation of UN Resolution 2758 amounts to 'lawfare,' Taipei Times reported. He said the EU does not recognize China's reading of the 1971 resolution as covering Taiwan's sovereignty.

DIPLOMACY · BLOOMBERG

US, China Trade Teams to Huddle in New York on AI, Iran

US and Chinese trade officials are set to meet in New York this week on AI policy and Iran, Bloomberg reported, alongside the separate Bessent-He Lifeng economic dialogue. The talks come four days ahead of the Sept 24 Trump-Xi summit in Washington.

CONGRESS · SCMP

China Hawks in Congress Join Forces to Pressure Trump Ahead of Xi Visit

A bipartisan bloc of China hawks in Congress is coordinating pressure on the Trump administration before Xi Jinping's Sept 24 Washington visit, SCMP reported. The push comes as the administration finalizes a state-dinner guest list that includes AI adviser David Sacks.

TARIFF · UDN (VIA AFP)

US Automakers Urge Trump to Keep Chinese Carmakers Out of US Market

The American Auto Policy Council and Auto Drives America wrote to Trump on Sept 18 urging him to 'firmly refuse' Chinese automakers seeking to sell, import or manufacture vehicles in the US, per UDN, ahead of the Sept 24 Xi summit. The groups thanked Trump for maintaining high tariffs on Chinese-made vehicles.

SANCTIONS · BLOOMBERG

China Slams New US Law Tightening Sanctions on Russia and Iran

Beijing criticized the sanctions law Trump signed targeting buyers of Russian energy, Bloomberg reported. The law authorizes tariffs on China and India as the top importers of Russian oil.

DIPLOMACY · PLATAFORMA MEDIA

China Defends 'Strategic Stability' With US Ahead of Possible Xi Visit

Chinese officials emphasized the need for 'strategic stability' in the US relationship ahead of Xi Jinping's expected Washington visit, per Plataforma Media. The framing echoes language Beijing used before the May 2026 Trump-Xi summit in Beijing.

CROSS-STRAIT · HK01

New Zealand's Largest Warship Transits Taiwan Strait for Third Time This Year

The frigate Aotearoa passed through the Taiwan Strait, HK01 reported, marking *the third such transit in a year* by New Zealand's largest naval vessel. The passage adds to a pattern of allied warships making freedom-of-navigation transits through the strait.

CROSS-STRAIT · NIKKEI ASIA

Foreign Envoys in Taipei Warn China Is Challenging Maritime Rules

Senior foreign diplomats based in Taipei said Beijing's escalating maritime pressure against Taiwan amounts to an attempt to redefine the rules of engagement at sea, Nikkei reported. The remarks came at a forum addressing gray-zone activity around Taiwan.

CROSS-STRAIT · TAIPEI TIMES

Taiwanese Union Chairman Released From China Detention Returns Home

Tsai Chin-shu, chairman of the Southern Taiwan Union of Cross-strait Relations Associations, said on Facebook he has returned to Taiwan after being imprisoned in China since 2018 on national-security charges. He was sentenced to four years and then barred from leaving China until 2027 before his return.

EUROPE · THE GUARDIAN

EU-Hopeful Rare Earths Supplier Says China's Grip Must End Before Trump-Xi Summit

Viridis executive Rafael Moreno said ending China's dominance of rare-earths supply is 'paramount' as his Brazil-based company seeks to supply the EU within two years, the Guardian reported. He said it was 'imperative' that Trump and Xi ease Beijing's rare-earth export threats when they meet Thursday.

MULTILATERAL · TAIPEI TIMES

Five Taiwan Allies Send Joint Letter to UN Backing Taiwan's Inclusion

Envoys from five of Taiwan's diplomatic allies sent a joint letter Friday to UN Secretary-General Antonio Guterres ahead of the UNGA general debate, calling for Taiwan's 'inclusion, recognition and camaraderie.' The letter argues UN Resolution 2758 does not address Taiwan's political status, ahead of the resolution's Oct 25 55th anniversary.

ASEAN · XINHUA

China-Vietnam Cross-Border Passenger Train Carries 31,500 Riders This Year

The daily Nanning-Hanoi international train has run more than *480 trips* in 2026, carrying passengers from over 50 countries and regions, Xinhua reported. The service departs Nanning at 18:05 and arrives at Hanoi's Gia Lam station the next morning.

16.7%

August y/y growth in China's high-tech manufacturing value-added

Digital-product manufacturing value-added grew 15.7% the same month, new economic drivers contributed over 60% of industrial growth, and industrial export delivery values have posted double-digit growth for five straight months.

澎湃新闻 (The Paper)

MACRO · REUTERS

China Holds Benchmark Lending Rates for 16th Straight Month

The PBOC kept the one-year LPR at 3.0% and the five-year-plus rate at 3.5% for a *16th consecutive month*, Reuters reported, even as the Fed, ECB and Bank of Japan all raised rates this month.

TECH / CXMT · REUTERS

CXMT Says New Memory-Chip Platform Enters Mass Production

Changxin Memory Technologies said its new memory-chip platform has entered mass production, Reuters reported, without disclosing volume or customer details.

TECH · WSJ

Unemployed Chinese Graduates Turn to AI Startups

Burned-out and jobless young Chinese are launching AI startups rather than seeking traditional employment, the WSJ reported, amid a tight job market for the country's record graduating class.

MANUFACTURING · BLOOMBERG

China to Step Up Enforcement Against 'Malicious Price Competition'

Beijing plans tougher enforcement against destructive price wars among manufacturers, Bloomberg reported, part of a broader push against industrial overcapacity.

ENERGY · BLOOMBERG

China's August Power Use Tops 1 Trillion kWh, Load Hits Record

China's electricity consumption exceeded *1 trillion kilowatt-hours* in August, with peak load hitting a record, Bloomberg reported.

TECH · BLOOMBERG

China's Smart-Glasses Sales Double in First Eight Months of 2026

Smart-glasses sales on major Chinese platforms rose *more than 100 percent* year-on-year in the January-August period, Bloomberg reported, citing MOFCOM data that also showed ECG-monitor sales up 75% and action-camera sales up 26.9%.

FINANCE · 中国人民银行 (PBOC ZH)

Hong Kong Banks Decline to Follow Fed Rate Hike as Yuan Firms

Major Hong Kong banks held their prime lending rates steady after the Fed's 25bp hike to 3.75%-4.00% on Sept 17, breaking with the city's usual practice of tracking the Fed under its dollar peg. Onshore and offshore yuan both edged higher rather than weakening, which analysts attributed to China's 'independent' monetary stance.

● WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · SUNDAY, SEPTEMBER 20, 2026

商务部 · MINISTRY OF COMMERCE

Releases January-August 2026 consumption and e-commerce data

Smart-glasses sales on major platforms more than doubled year-on-year, ECG-monitor sales rose 75% and action-camera sales rose 26.9%; service retail sales grew 4.9%, outpacing goods retail by 3.9 percentage points.

→ MOFCOM data via Zaobao ↗

中共中央办公厅、国务院办公厅 · STATE COUNCIL / CCP GENERAL OFFICE

Issues opinion on classified reform of higher-education institutions

Calls for a differentiated university development system distinguishing comprehensive and specialized institutions, coordinated management of centrally- and locally-affiliated universities, and better use of domestic and international resources.

→ Yicai ↗

国家市场监督管理总局 · STATE ADMINISTRATION FOR MARKET REGULATION

Issues new infant-formula labeling rules

Requires identical-formula products from the same company to carry uniform label content, format and color, banning differentiation via packaging color or can shape, ahead of a related regulation taking effect March 16, 2027.

→ Xinhua ↗

PERSONNEL CHANGES

Li Yun (李運) **ELECTED**

Mayor of Shenzhen

Elected by the Shenzhen People's Congress on Sept 20; a 53-year-old economics PhD who spent 2000-2021 at Agricultural Bank of China, became China Construction Bank vice president in 2021, and Guangdong vice governor in March 2025.

Succeeds: Qin Weizhong (覃偉中), who resigned as mayor citing a job transfer

Li Chenggang **APPOINTED**

China's International Trade Negotiation Representative (正部长级)

Named by the State Council on Sept 20 alongside Ling Ji, who was concurrently appointed deputy trade negotiation representative.

Yu Xiaohui **APPOINTED**

MIIT Vice Minister

Appointed by the State Council on Sept 20 per Xinhua's personnel announcement.

Pan Wenbo **APPOINTED**

Ministry of Agriculture and Rural Affairs Vice Minister

Appointed by the State Council on Sept 20 in the same personnel batch.

习近平 · XI JINPING · ADVANCED MANUFACTURING DEVELOPMENT DIRECTIVE

ROUTINE · TO DOMESTIC

Xi Jinping ¹ · CCP General Secretary

“Per Xinhua/PLA Daily: continue to make advanced manufacturing bigger and stronger, raise the level of independent control over industrial and supply chains, and speed up building a modernized industrial system with advanced manufacturing as its backbone.”

持续做大做强先进制造业，提升产业链自主可控水平，加快构建以先进制造业为骨干的现代化产业体系，巩固壮大实体经济根基，为推进中国式现代化提供有力支撑。

Xi issued the instruction as State Council data showed high-tech manufacturing value-added up 16.7% year-on-year in August.

PLA Daily (81.cn)

中国人民银行 · PBOC · MONETARY POLICY INDEPENDENCE AMID GLOBAL RATE DIVERGENCE

ROUTINE · TO DOMESTIC

Pan Gongsheng ¹ · PBOC Governor

“We must deeply understand the internal logic of the shifts in China's financial structure, and dynamically optimize and adjust the monetary policy framework to improve the adaptability of financial services to the real economy.”

做好当前和今后一个时期的经济金融工作，需要深刻认识中国金融结构变迁的内在逻辑，动态优化调整货币政策框架，提升金融服务实体经济的适配性。

The remarks came as the Fed, ECB and Bank of Japan all raised rates in September while China held its LPR steady for a 16th month.

中国人民银行 (PBOC ZH) via Sina

使馆 · EMBASSY · F-35 PARTS DIVERSION TO HONG KONG

ROUTINE · TO US

Chinese Embassy in the United States ¹ · Embassy spokesperson

“Per DW: the Chinese embassy in the United States said it was not aware of the specific details of the case.”

中国驻美大使馆则表示不了解该事件的具体情况。

Politico reported that sensitive F-35 parts, including a cockpit canopy, were diverted from a repair shipment to Hong Kong this summer.

DW Chinese

• WHAT OTHERS ARE SAYING

TAIPEI TIMES · SEP 20, 2026

Matt Pottinger · Former US Deputy National Security Adviser; CEO, Garnut Global

“Skepticism toward the US' and 'skepticism toward Taiwan' are essentially myths”

Pottinger spoke at a Presidential Office-hosted democracy forum in Taipei, citing Taiwan's drone exports rising from 3,000 in 2024 to a projected hundredfold increase by year's end.

source

• THE WIRE

GOVERNANCE

BLOOMBERG

China Launches Campaign Against Environmental Monitoring Fraud

Beijing kicked off a nationwide crackdown on falsified environmental monitoring data, Bloomberg reported.

TECHNOLOGY

NIKKEI ASIA

Toyota to Build Extended-Range EVs in China Starting Spring

Toyota will begin producing extended-range electric vehicles in China next spring, Nikkei reported.

PLA DAILY

China Launches Nine Satellites Aboard Lijian-1 Rocket

China orbited nine satellites, including the Qinling-01/02 pair, via a Lijian-1 rocket from the Dongfeng commercial space site.

ECONOMY

SCMP

Hong Kong's First Five-Year Plan Gives Firms Long-Term Certainty: Paul Chan

Financial Secretary Paul Chan said Hong Kong's inaugural five-year plan gives businesses clearer visibility for long-term investment decisions.

● UPCOMING

Sep
22

UNGA High-Level Week Opens

World leaders convene in New York; Taiwan's allies pressed for its 'meaningful participation' in a joint letter to the UN Secretary-General this week.

Sep
24

Xi Jinping State Visit to Washington

Xi's first visit to Washington in a decade; Trump plans to greet him at the airport ahead of a state dinner, with Bessent-He Lifeng economic talks running in parallel.

Oct
1

PRC National Day, 77th Anniversary

Marks 77 years since the PRC's founding.

Oct
25

UN Resolution 2758 55th Anniversary

Contested-interpretation flashpoint; Taiwan's allies and a former German MEP this week pressed back on Beijing's reading of the 1971 resolution.

Nov
28

Taiwan Nine-in-One Local Elections

22 mayoral and magistrate races and roughly 11,000 offices at stake, read as a mid-term gauge of the Lai administration.

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